

DEBT & EQUITY

\$24M Student Housing Refi: The Underwriting Condition That Made It Work

A three-year floating-rate loan near UF reveals what lenders require to say yes on student housing today.

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A source-grounded Light Tower Insight. The complete note follows.

A \$24 million refinancing for a 182-bed student housing property near the University of Florida campus closed last week. The deal itself is not remarkable. What is remarkable is the underwriting condition that made it possible.

The loan is three-year, floating-rate, arranged by JLL Capital Markets on behalf of The Ardent Cos. through lender GID. The property, called The Row, sits at 407 S.W. 13th Street in Gainesville, seven stories, with a resort-style deck, reflective pool, fitness center, study areas on each floor, and 4,315 square feet of ground-floor retail.

Here is the tension: a three-year floating-rate loan on student housing is a bet on lease-up speed. The lender is not underwriting the asset's long-term value. It is underwriting the borrower's ability to fill beds quickly enough to cover a floating-rate coupon that could reset higher before the loan matures.

Student housing is not multifamily. Its cash flows are lumpy, seasonal, and tied to enrollment cycles. A 182-bed property near a major public university like UF has structural demand, but the revenue is concentrated in a single academic year. If the borrower misses the August lease window, the property's cash flow is impaired for twelve months. A floating-rate loan amplifies that risk because the interest cost can rise before the next lease cycle begins.

GID, the lender, is not a bank. It is a real estate investment manager with a dedicated debt platform. That matters. Banks have largely retreated from construction and transitional lending, especially on floating-rate structures. Non-bank lenders like GID have filled the gap, but they underwrite differently. They focus on sponsor quality, lease-up velocity, and exit optionality rather than relationship banking or deposit stickiness.

The Ardent Cos. is a known operator in student housing. That is the first underwriting condition. The second is the property's location: 407 S.W. 13th Street is within walking distance of the University of Florida campus, one of the largest public universities in the country with over 60,000 students. Enrollment has been stable and growing. That gives the lender confidence that the demand pool is deep enough to absorb 182 beds.

The third condition is the loan structure itself. Three years is short. It forces the borrower to either stabilize the asset and refinance into longer-term fixed-rate debt, or sell. The floating-rate coupon means the borrower bears the interest rate risk. The lender is not taking duration risk. It is taking execution risk: can the borrower deliver the cash flow needed to exit the loan on time?

This is the kind of financing that appears when the market is bifurcated. Core, stabilized student housing assets with long-term fixed-rate debt are trading at tight cap rates. Transitional assets like The Row, which may still be in lease-up or have a retail component that adds complexity, require a different capital solution. The three-year floating-rate loan is that solution. It is not a sign of weakness. It is a sign that the lender and borrower agreed on a timeline for value creation.

The retail component is worth watching. 4,315 square feet of ground-floor retail in a student housing project is a small amount, but it introduces a different tenant profile. Retail leases are longer than student leases. They require different underwriting. If the retail space is vacant or leased to a weak credit tenant, it could complicate the refinancing or sale at maturity. The lender likely underwrote the retail as a minor contributor to the property's cash flow, not a primary driver.

What should market participants test next? First, watch the August lease-up window for The Row. If the property reaches 95% occupancy or higher by the start of the fall semester, the borrower has a clear path to refinance into longer-term debt. If occupancy lags, the floating-rate loan becomes a constraint rather than a bridge.

Second, track GID's lending activity in student housing. If this deal is part of a broader push into the sector, it signals that non-bank lenders see student housing as a niche where they can earn a premium for underwriting lease-up risk. If it is a one-off, it suggests the lender is being highly selective.

Third, watch the University of Florida's enrollment trends. A flat or declining enrollment would compress the demand pool and make lease-up harder. UF has been growing, but that is not guaranteed forever.

The \$24 million refinancing is not a market signal on its own. It is a data point in a larger pattern:

student housing is being financed on shorter timelines, with floating-rate structures, by non-bank lenders who are underwriting execution speed rather than long-term stability. The borrower who can fill beds fast gets the capital. The borrower who cannot will find the market much less forgiving.

That is the underwriting condition that made this deal work. It is also the condition that will determine whether the deal works out.

SOURCES

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<https://rebusinessonline.com/jll-secures-24m-refinancing-for-student-housing-property-near-university-of-florida/>

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